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Amending Acts

1. Act to Amend Some Nepal Acts Relating to Communication, 2057 2057.10.18
2. Income Tax Act, 2058 2058.12.19

Ratification and Publication Date

3. Act to Strengthen the Republic and Amend Some Nepal Laws, 2066 2066.1.7
4. Act to Amend, Consolidate, Adjust and Repeal Some Nepal Laws, 2074 2074.6.30
5. Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075 2075.11.19
6. Finance Act, 2077 2077.3.15
7. Finance Act, 2078 2078.6.13

Act No. 18 of the year 2053

An Act Made to Provide for Matters Relating to Telecommunications

Preamble: Whereas it is desirable to make telecommunications service reliable and universally accessible, to involve the private sector as well in telecommunications service, and to regulate and systematize such service,

The Federal Parliament has enacted this Act. This Act is enacted by the Parliament in the twenty-fifth year of the reign of His Majesty King Birendra Bir Bikram Shah Dev. Chapter - 1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Telecommunications Act, 2053".
(2) This Act shall come into force on such date as the Government of Nepal may, by notification in the Nepal Gazette, appoint As per the notice published in the Nepal Gazette on 2057.7.18, it has come into force from 2057.7.18.. 2.

Definitions: Unless the subject or context otherwise requires, in this Act,- (a) "Telecommunications" means the emission, transmission or reception of any voice, sign, signal, writing, figure, code of any kind or message, whether or not such voice, sign, signal, writing, figure or code or message has been rearranged, computed or otherwise transformed by any means for such emission, transmission or reception, by wire, radio, optical or other electromagnetic systems. (b) "Telecommunications Line" means any wire, cable, apparatus, tower, pole, antenna, tunnel, hole, pit, stick or other structure or object used or intended to be used in connection with a telecommunications system. (c) "Telecommunications System" means any

apparatus or group of apparatus used or intended to be used in connection with a telecommunications system. (d) "Telecommunications Service" means the service relating to the exchange of any voice, sign, signal, writing, figure, code or message, whether or not such voice, sign, signal, writing, figure or code or message has been rearranged, computed or otherwise transformed by any means for emission, transmission or reception, by wire, radio, optical or other electromagnetic systems. (e) "Authority" means the Nepal Telecommunications Authority established pursuant to Section 3 Added by the Act to Amend Some Nepal Acts Relating to Communication, 2057.. (f) "Chairperson" means the Chairperson of the Authority. (g) "Member" means a member of the Authority and includes the Chairperson. (h) "License" means a license granted under Section 24 to operate a telecommunications service. (i) "Licensee" means a person who has obtained a license to operate a telecommunications service under Section 24. (j) "Customer" means a person who receives the telecommunications service provided by a licensee. (k) "Fee" means the charge collected from a customer for providing telecommunications service under this Act. (l) "Person" includes a body corporate established under the prevailing law. (m) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules or regulations made under this Act.

Chapter - 2 Establishment and Constitution of the Telecommunications Authority

3. Establishment of the Telecommunications Authority: The Nepal Telecommunications Authority is established with the objective of making telecommunications service reliable and universally accessible, and to regulate and systematize such service.

4. Authority to be an Autonomous and Corporate Body: (1) The Authority shall be an autonomous and corporate body with perpetual succession. (2) The Authority shall have its own separate seal for its business. (3) The Authority may acquire, use or otherwise dispose of movable and immovable property like a person. (4) The Authority may sue and be sued in its own name like a person. 5.

Constitution of the Authority: (1) The Authority shall consist of five members including the Chairperson, having qualifications and experience as prescribed in the fields of Amended by the Act to Amend Some Nepal Acts Relating to Communication, 2057. technical and administrative, market management, accounting and auditing or legal, related to telecommunications service. (2) The Government of Nepal shall constitute a committee including experts from the related field to recommend the appointment of the Chairperson and members of the Authority, and the Government of Nepal shall appoint the Chairperson and members on the recommendation of such committee. (3) The Authority may, if it deems necessary, invite any expert to participate as an observer in the meeting of the Authority. (4) An employee designated by the Chairperson from among the senior officer-level employees of the Authority shall act as the Secretary of the Authority. 6. Office of the Authority: (1) The central office of the Authority shall be located in the Kathmandu Valley, and the Authority may also open branch offices within Nepal Omitted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066. as required. 7. Meetings and Decisions of the Authority: (1) A meeting of the Authority shall be held as necessary. (2) A meeting of the Authority shall be held at such place, date and time as designated by the Chairperson. (3) The meeting of the Authority shall be presided over by the Chairperson, and in the absence of the Chairperson, a member chosen by the members present at the meeting from among themselves shall preside over the meeting. (4) If more than fifty percent of the total number of members of the Authority are present, the meeting shall be deemed to have constituted a quorum. (5) The opinion of the majority in a meeting of the Authority shall be deemed to be the decision of the Authority, and in case of a tie, the Chairperson shall have a casting vote. (6) The decision of a meeting of the Authority shall be certified by the Chairperson, and the Secretary of the Authority shall make such decision available to all members. (7) Other procedures relating to meetings of the Authority shall be as determined by the Authority itself. 8. Term of Office of Chairperson and Members: (1) The term of office of the Chairperson and Members shall be five years. (2) If the committee referred to in sub-section (2) of Section 5 finds the work

of the Chairperson or Member satisfactory and recommends reappointment, the Government of Nepal may reappoint such person as Chairperson or Member. 9.

Removal of Chairperson or Members from Office: (1) Notwithstanding anything contained in Section 8, the Government of Nepal may remove the Chairperson or a Member from office in the following circumstances:- (a) If lacking work capacity, (b) If of bad conduct, (c) If not honestly performing the official duties, (d) If mentally unstable or insane, or (e) If having direct or indirect ownership or private interest in any firm or body corporate operating a telecommunications service or system. (2) Before removing the Chairperson or a Member from office pursuant to sub-section (1), such person shall be given a reasonable opportunity to present their defense. 10. Vacancy in the Office of Chairperson or Member: The office of the Chairperson or a Member shall be deemed vacant in the following circumstances:- (a) If written resignation submitted to the Government of Nepal is accepted, (b) If the term of office expires under Section 8, (c) If removed from office under Section 9, (d) If convicted by a court on a criminal charge, or (e) If deceased, Added by the Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075.(f) If the age of sixty-six years is completed. 11. Service, Conditions and Other Provisions for the Chairperson: (1) The Chairperson shall be the chief officer of the Authority working full-time. (2) The remuneration, facilities and other conditions of service, and the duties, responsibilities and powers of the Chairperson shall be as prescribed. (3) After a person is appointed as Chairperson, the remuneration, facilities and other conditions of service of such person shall not be changed to their detriment. (4) A member shall receive a meeting allowance as prescribed for participating in the meeting of the Authority. 12. Employees of the Authority: (1) There shall be such number of employees in the Authority as necessary to carry out the work of the Authority. (2) The appointment, remuneration, facilities and conditions of service of employees under sub-section (1) shall be as prescribed. (3) Notwithstanding anything contained in sub-section (2), until the appointment of employees of the Authority, the Government of Nepal may, upon the request of the Authority, depute employees of the Government of Nepal or any corporate body to work in the Authority, with salary and allowances payable by the Authority. Chapter - 3 Functions, Duties and Powers of the Authority 13.

Functions and Duties of the Authority: The functions and duties of the Authority shall be as follows:- (a) To advise the Government of Nepal on policies, plans and programs to be adopted by the Government of Nepal for the development of telecommunications service. (b) To make telecommunications service and facilities universally accessible and reliable. (c) To make necessary provisions to extend basic telecommunications services and facilities to all areas, urban and rural, throughout Nepal Omitted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066.. (d) To involve domestic and foreign private sector investors in the operation of telecommunications service. (e) To make arrangements for coordination and healthy competition among persons providing such services and facilities to make telecommunications service and facilities available to all members of the public. (f) To prescribe standards, determine quality, and approve telecommunications service and telecommunications-related instruments and equipment. (g) To regulate and systematize telecommunications service. (h) To Omitted by the Act to Amend Some Nepal Acts Relating to Communication, 2075. grant licenses to operate telecommunications service. (i) To approve and regulate the fees charged by a licensee for providing telecommunications service. (j) To carry out frequency-related work in accordance with the policy determined by the Radio Frequency Policy Determination Committee. (k) To conduct or cause to be conducted research on the development and use of new technologies in the field of telecommunications. (l) To develop skilled human resources for the field of telecommunications. (m) To develop and expand telecommunications service in a manner that protects the rights and interests of consumers. (n) To develop or cause to develop Nepal as an international transit point in relation to telecommunications. (o) To carry out other necessary and appropriate work for the development and

promotion of telecommunications service. 14. Determination of Quality and Prescribing Standard of Service: (1) The Authority shall determine the quality of telecommunications service and telecommunications-related instruments, equipment and facilities. (2) The Authority shall prescribe the minimum standard to be maintained by a licensee while operating telecommunications service. 15. Power to Give Orders or Directions: (1) The Authority may, having regard to the policies and directions of the Government of Nepal, give necessary orders or directions to a licensee, and it shall be the duty of the concerned person to comply with such orders or directions. (2) The Authority may request a licensee to provide details of the work done and the telecommunications service operated, and it shall be the duty of the concerned person to provide such details. 16.

Power to Settle Disputes: (1) The Authority shall have the power to settle disputes between licensees or between a licensee and a customer relating to telecommunications service. (2) The manner and procedure for settling disputes pursuant to sub-section (1) shall be as prescribed. 17. Inspection and Investigation: (1) The Authority may, at any time if it deems necessary, inspect or investigate the work done or service provided by a licensee. (2) The Authority may designate any person or body of the Authority for the purpose of inspection or investigation under sub-section (1). (3) It shall be the duty of the concerned licensee to provide the information or details and documents requested by the Authority or the body or person designated under sub-section (2) in the course of inspection or investigation. (4) The procedure to be adopted during inspection or investigation under this section, the report thereof, and provisions relating to implementation of the report shall be as prescribed. Chapter - 4 Special Powers of the Government of Nepal 18. Government of Nepal May Itself Operate or Cause to Operate Telecommunications Service: Notwithstanding anything contained elsewhere in this Act, the Government of Nepal may itself operate or cause to operate telecommunications service. 19. Special Powers of the Government of Nepal: (1) If an emergency situation arises or if it becomes necessary to prohibit the exchange of messages due to national security or if it is deemed necessary to control the system for exchanging such messages, the Government of Nepal may do the following acts:- (a) Temporarily take possession of telecommunications lines and telecommunications systems installed, operated or maintained by a licensee, (b) Order the tapping of messages relating to a particular subject, person or community, the identification of the person sending such message, or the stoppage of transmission of such message. (2) After the situation under sub-section (1) is over, the Government of Nepal shall return the telecommunications lines and telecommunications systems taken possession of to the concerned licensees. 20. Power to Give Directions: The Government of Nepal may, from time to time, give necessary directions to the Authority concerning the diversification, expansion and regulation of telecommunications service in accordance with the communication policy of the country, and it shall be the duty of the Authority to comply with such directions. Chapter - 5 Provisions Relating to Licenses 21. No Persons Allowed to Operate Telecommunications Service Without a License: After the commencement of this Act, no person shall be allowed to operate telecommunications service without obtaining a license. 22.

Notice Inviting Application for License to be Published: (1) Except for the telecommunications service prescribed pursuant to sub-section (2) of Section 23, before granting a license to operate any other telecommunications service, the Authority shall determine the number of licenses to be granted and the type of telecommunications for such service, and shall publicly publish a notice specifying the time limit for applying for the license. (2) After a license for a telecommunications service has been granted under sub-section (1), another license for operating the same telecommunications service shall not be granted for five years. Provided that if a licensee fails to provide the telecommunications service as specified in the license, or if based on objective assessment it appears that there is additional need for such

telecommunications service, this sub-section shall not prevent the Authority from granting a license to another person. 23. License Application to be Submitted: (1) A qualified person having the capital, technical expertise and professional competence as prescribed, who wishes to operate telecommunications service under this Act, shall submit an application to the Authority within the time limit specified by the Authority under Section 22, stating the matters as prescribed, along with an economic and technical study report and a business operation plan relating to the telecommunications service such person intends to operate. (2) Notwithstanding anything contained in sub-section (1), an application for a license to operate such telecommunications service as may be prescribed by the Government of Nepal, by notification in the Nepal Gazette, upon the recommendation of the Authority, may be submitted at any time Omitted by the Act to Amend Some Nepal Acts Relating to Communication, 2073.. (3) A person who, prior to the commencement of this Act, has been operating telecommunications service with permission from the Government of Nepal, shall submit an application to the Authority for a license within six months of the commencement of this Act, stating details of the service being operated, and shall obtain a license within one year. 24.

Provisions Relating to License: (1) Upon receipt of an application under Section 23, the Authority shall make necessary inquiries in respect thereof, and if, during such inquiry, it deems necessary to obtain further information or details, the Authority may request the applicant for such further information or details. (2) If, upon making necessary inquiries under sub-section (1), the Authority deems it appropriate to grant a license, it shall grant a license to the applicant for licenses other than those to be granted under sub-sections (3) and (4), upon collecting the prescribed fee. (3) If, upon inquiring under sub-section (1), only one person among the applicants under sub-section (1) of Section 23 appears to be qualified to operate such telecommunications service, the Authority shall negotiate with such person and, after determining the license fee, renewal fee and royalty, grant a license to the applicant. (4) If, upon inquiring under sub-section (1), more than one person among the applicants under sub-section (1) of Section 23 appears to be qualified to operate such telecommunications service, the Authority shall notify all such persons to bid on the license fee, renewal fee and royalty, and shall grant the license to the person making the highest bid. (5) When granting a license under sub-section (2), it shall be granted within ninety days from the date of receipt of the application or, if additional information or details are requested under sub-section (1), from the date of receipt of such information or details. (6) When granting a license under sub-section (3) or (4), it shall be granted within one hundred twenty days from the date of expiry of the time limit for submitting applications under sub-section (1) of Section 23 or, if additional information or details are requested under sub-section (1), from the date of receipt of such information or details. (7) A person who does not receive a license within the time limit specified in sub-section (5) or (6) may lodge a complaint with the Government of Nepal within thirty days after the expiry of such time limit, and the decision made by the Government of Nepal on such complaint shall be final. Added by the Act to Amend Some Nepal Acts Relating to Communication, 2073.24a.

License Not Required: Notwithstanding anything contained elsewhere in this Act, a license shall not be required to operate telecommunications service in the following manner:- (a) To operate telecommunications service by establishing a network for the Government of Nepal's own use, (b) To operate telecommunications service by installing a network in aircraft registered outside Nepal Omitted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066. in accordance with international conventions, (c) To operate telecommunications service by establishing a network for the diplomatic mission's own use, (d) To operate telecommunications service within one's own household compound without connecting to the telecommunications system, (e) To operate other telecommunications services as prescribed. 25. Duration and Renewal of License: (1) The duration of a license shall be a maximum of twenty-five years. Provided that a license shall not be granted for a period exceeding ten years at one time. (2) A licensee wishing to renew a

license shall submit an application to the Authority for renewal within the prescribed period before the expiry of the license term. Upon such application, the license shall be renewed without exceeding five years at one time. (3) A licensee who obtained a license under sub-sections (3) and (4) of Section 24 shall, for renewal of the license under sub-section (2), pay the renewal fee as committed by such person to the Authority. (4) A licensee who obtained a license under sub-section (2) of Section 24 shall, for renewal of the license under sub-section (2), pay the prescribed fee to the Authority. (5) If the license is not renewed within the time limit under sub-section (2), such license shall be automatically cancelled. 26.

Amendment of License: (1) If a licensee deems it necessary to amend any matter mentioned in the license obtained by such person, an application specifying the reason therefor shall be submitted to the Authority. (2) If the reason given for the amendment in the application under sub-section (1) is reasonable and proper, the Authority shall, within thirty days of receipt of such application, make the amendment if it does not affect the substantive matters of the license, and if it does not deem it appropriate to make such amendment, it shall give notice with reasons to the applicant. (3) For amending a license under sub-section (1), the prescribed fee shall be deposited with the Authority. (4) If the Authority deems it necessary to amend any matter mentioned in a license, it may give notice with reason therefor to the concerned licensee. (5) After receiving notice under sub-section (4), if the licensee does not deem such amendment to the license necessary, the licensee may submit an application to the Authority within fifteen days of receipt of such notice, stating the reason therefor. (6) After receipt of the application under sub-section (5) or after the expiry of that time limit, the Authority shall decide whether or not to amend the license and shall give notice thereof to the licensee.

27. Sale or Transfer of License: (1) If a licensee wishes to sell or otherwise transfer the rights of the license to any person, such licensee and the person wishing to purchase or take transfer of the rights shall jointly submit an application to the Authority for approval, stating the reason therefor and specifying the terms and conditions agreed between them. (2) Upon receipt of an application under sub-section (1), if the Authority, after making necessary inquiry, finds it appropriate to allow the sale or transfer of rights of the license to the person mentioned in the application, it shall grant approval for the sale or transfer of rights within thirty days of receipt of such application, and if it does not find it appropriate to grant such approval, it shall give notice with reason to the applicant. (3) The prescribed fee for approval of sale or transfer of rights of a license shall be deposited with the Authority. 28.

License May Be Cancelled: (1) If a licensee does not operate the telecommunications service within the period specified in the license, the Authority may cancel such license. (2) If a licensee does any act contrary to this Act or the rules made under this Act or the conditions mentioned in the license, the Authority may order the concerned licensee to rectify such act within a specified period. (3) If the licensee fails to rectify within the period specified under sub-section (2), the Authority may cancel the license obtained by such person. (4) Notwithstanding anything contained in sub-section (1) or (3), before cancelling a license, the concerned licensee shall be given a reasonable opportunity to present a defense. (5) A person aggrieved by the cancellation of a license by the Authority under sub-section (3) may lodge a complaint with the Government of Nepal within 35 days, and the decision made by the Government of Nepal on such complaint shall be final. 29. Conditions to be Complied with by Licensee: Other conditions, besides those mentioned in this Act, to be complied with by a licensee while operating telecommunications service shall be as prescribed.

30. Development, Expansion and Operation of Telecommunications Service in Designated Areas: (1) A licensee obtaining a license under sub-sections (3) and (4) of Section 24 shall invest the prescribed percentage of the total investment in the development, expansion and operation of telecommunications service in rural areas. (2) The rural areas to be developed, expanded and operated under sub-section (1) shall be as specified in the license, and if not so specified, as specified by the Authority from time to time. (3)

If any other licensee wishes to develop, expand and operate telecommunications service, on the basis of mutual agreement, that a particular licensee is required to develop, expand and operate under sub-sections (1) and (2), the Authority may grant permission after making necessary inquiry. (4) The Authority shall establish a fund for the development, expansion and operation of telecommunications service in rural areas, and a licensee shall deposit into such fund each year an amount as specified by the Authority from the annual income received. (5) The amount deposited in the fund under sub-section (4) shall be used by the Authority for the development, expansion and operation of telecommunications service in rural areas, subject to the telecommunications policy of the Government of Nepal. (6) For the development, expansion and operation of telecommunications service under sub-section (5), the Authority may designate a licensee, and such licensee shall develop, expand and operate telecommunications service in the rural areas as specified by the Authority. 31.

Interconnection and Use of Telecommunications Systems: (1) A licensee may interconnect and use the telecommunications system developed by such licensee with the telecommunications system developed by another licensee. (2) If a licensee requests another licensee to interconnect and use the telecommunications system developed by such other licensee, permission for interconnection and use shall be granted on the basis of reasonable terms and conditions as agreed upon mutually, or if mutual agreement cannot be reached, on the basis of terms and conditions determined by the Authority. 32. Royalty to be Paid: (1) A licensee obtaining a license under sub-section (2) of Section 24 shall pay the prescribed royalty to the Government of Nepal. (2) A licensee obtaining a license under sub-sections (3) and (4) of Section 24 shall pay the royalty as committed by such person to the Government of Nepal. (3) The manner and time for paying royalty shall be as specified by the Authority. 33. Ownership of the Government of Nepal: (1) Land, buildings, machinery, equipment and structures related to a telecommunications service in which more than fifty percent of the total capital investment is made by a foreign person or body corporate shall become the property of the Government of Nepal after the expiry of the license term. (2) The former licensee may obtain a new license and operate telecommunications service by paying to the Government of Nepal the value determined under sub-section (3) for the property that has come under the ownership of the Government of Nepal under sub-section (1). (3) For the purpose of determining the value under sub-section (2), the Government of Nepal may, after consulting the Authority, constitute a committee of up to five persons. (4) A telecommunications service in which up to fifty percent of the total capital investment is made by a foreign person or body corporate may, after the expiry of the license term, be operated by the former licensee by obtaining a new license. Chapter - 6 Facilities Available to Licensee 34. Facilities Relating to Tax and Fees: (1) Repealed by the Income Tax Act, 2058 (2) The Government of Nepal may, by notification in the Nepal Gazette, grant partial or full exemption from customs, sales tax and other duties leviable on the import of telecommunications-related equipment specified in such notification by a licensee. 35.

Foreign Exchange Facilities: (1) If foreign currency is invested as loan or share capital for providing telecommunications service, the Government of Nepal shall make available to the licensee the foreign currency necessary for payment of the principal and interest of such loan or for repatriation of the investment at the prevailing exchange rate. (2) If it is necessary to import from abroad the equipment required by a licensee to operate telecommunications service, the Government of Nepal shall make available the necessary foreign currency at the prevailing exchange rate. Added by the Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075.(3) When taking membership from a foreign institution related to telecommunications or entering into an agreement with a foreign person or institution for the operation of telecommunications service, the Government of Nepal shall, on the recommendation of the Authority, make available the foreign currency required by the licensee. Chapter - 7 Installation and

Maintenance of Telecommunications Line 36. Right to Use Land: A licensee or the representative of such licensee may install or place and maintain a telecommunications line on any public or private land or above such land, and for that purpose may erect poles or sticks, place fixtures or supports on trees on such land, or cut any tree if such tree is likely to cause obstruction, damage or hindrance to the telecommunications line. Provided that, (1) If the land on which the telecommunications line is or is to be installed is public land, no compensation shall be payable for it, but if any public property installed or constructed thereon is damaged, the licensee shall repair, improve or reconstruct it and restore it to its original condition. (2) If the land on which the telecommunications line is or is to be installed is the private property of a person, it shall be installed in a proper and suitable place so as not to cause inconvenience to such person, and if any property of such person is damaged during such installation, the licensee shall pay compensation. (3) The licensee shall have no right in the place where the telecommunications line is placed or in the land where such line is used or installed, other than the right of a user of such telecommunications line. 37. Right to Inspect, Repair or Shift Telecommunications Line: A licensee may, as necessary, shift, inspect or repair the telecommunications line or equipment laid or installed by such licensee from one place to another, and shall have the right to enter the land where such telecommunications line or equipment is located for that purpose.

Provided that if any person suffers any damage during such repair or improvement of the telecommunications line, the licensee shall pay compensation to the concerned person. 38. Entering Another's House or Land: If a licensee needs to enter any person's house or land in the course of operating a telecommunications service, such house or land shall be entered only after giving prior written notice to the concerned person. If any damage is caused during such entry, the licensee shall pay compensation to the concerned person. Provided that if there is reasonable cause to suspect that a telecommunications service is being used or stolen unauthorizedly in any house or land, such house or land may be entered immediately upon giving written notice for the purpose of inquiring into such matter. 39. Provision Relating to Compensation: (1) The compensation to be paid by a licensee under Sections 36, 37, and 38 shall be determined within fifteen days from the date of such act and notice shall be given to the concerned person.

(2) The amount of compensation to be paid under sub-section (1) shall be just and reasonable.

(3) A person aggrieved by the amount of compensation determined under sub-section (1) may, stating reasons, submit an application to the Authority within fifteen days from the date of receipt of the notice thereof. The decision made by the Authority on such application shall be final. 40. Use or Acquisition of Another's House or Land: (1) If it becomes necessary for the expansion or distribution of telecommunications service to use or acquire another person's house or land, and the licensee is unable to acquire or use such house or land from the concerned person, the licensee may submit an application to the Authority stating the same for the acquisition or use of such house or land.

(2) Upon receipt of an application under sub-section (1), the Authority shall make necessary inquiry, and if it finds it necessary and appropriate to have the house or land mentioned in the application acquired, the Authority shall recommend to the Government of Nepal within thirty days of receipt of such application.

(3) Upon receipt of the recommendation of the Authority under sub-section (2), the Government of Nepal may, in accordance with the prevailing law, acquire such house or land for the licensee in the same manner as land is provided to a corporate body. If it is government land, it may be provided on lease for the term of the license. Chapter - 8

Determination and Collection of Service Fees

41.

Service to be Provided: (1) If a licensee has taken a deposit from a customer for the purpose of providing

telecommunications service, the telecommunications service shall be provided within six months of taking the deposit, and if the service cannot be provided within that period, interest at the rate of ten percent per annum shall be paid to the customer from the date of receipt of the deposit. Provided that the service shall be provided within one year of receipt of the deposit. (2) The interest payable to the customer under sub-section (1) may be deducted from the telecommunications service fee consumed by the customer. 42. Service Fee: (1) A licensee may levy and collect a service fee from the customer for providing telecommunications service:- Provided that (a) The rate of such service fee must be approved by the Authority. (b) The rate of such service fee must be published as directed by the Authority. (c) The rate of such service fee must be just and reasonable. (2) For the purpose of sub-section (1), a licensee shall prepare a schedule of service fee rates based on the related directive issued by the Authority, and submit it to the Authority for approval at least three months before the date on which such schedule is to come into effect, also specifying the date of implementation. (3) A licensee shall not unfairly discriminate in relation to the fees and other conditions of the telecommunications service provided by it, or give undue preference to itself or any person, or cause undue loss to any person. 43. Service May be Disconnected: A licensee may disconnect the telecommunications service provided to a customer in the following circumstances:- (a) If it is necessary to inspect, repair, improve or expand the telecommunications line or telecommunications system, or to carry out any other important work, (b) In the case of a customer who fails to pay the fee due, in respect of such customer, (c) In the case of a customer who uses the service unauthorizedly or contrary to the conditions, in respect of such customer, (d) In case of natural calamity or strike, lockout, riot or similar extraordinary situation beyond control. Chapter - 9 Fund, Accounts and Audit of the Authority 44.

Fund of the Authority: (1) The Authority shall have its own separate fund, and the following amounts shall be in such fund:- (a) Amount received from the Government of Nepal. (b) Amount received from license fees and fees for renewal, amendment, sale or transfer of rights thereof. (c) Amount received as grant from foreign governments or organizations. (d) Amount received from any other source. (2) Before receiving an amount under clause (c) of sub-section (1), the Authority shall obtain the approval of the Government of Nepal. (3) The amount in the fund of the Authority shall be deposited by opening an account in any bank within Nepal Omitted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066. and the operation of such account shall be as specified by the Authority. (4) Out of the amount deposited in the fund under sub-section (1), the Authority shall deposit into the Federal Consolidated Fund every year Added by the Finance Act, 2077. by the 25th day of Shrawan, the amount other than the amount expended in accordance with the Amended by the Finance Act, 2078. approved annual program of the Authority and additional amount equal to fifty percent of such expended amount. 45. Budget and Expenditure: (1) The Authority shall have its budget prepared and approved for each fiscal year for carrying out its functions under this Act. (2) All expenditures of the Authority shall be borne from the fund of the Authority, subject to the budget approved under sub-section (1). (3) If the amount received by the Authority under clauses (b), (c) and (d) of sub-section (1) of Section 44 in each year for carrying out its functions under this Act is insufficient, the Authority may request the Government of Nepal for the shortfall, and if the amount provided by the Government of Nepal is in excess, the Authority shall return the excess amount to the Government 62. Power to make regulations: The Authority may, subject to this Act and the rules made under this Act, make necessary regulations. 63. Repeal and savings: (1) The Telecommunications Act, 2019 (1963) is hereby repealed. (2) All acts and actions performed under the Telecommunications Act, 2019 (1963) prior to the commencement of this Act shall be deemed to have been performed under this Act.